CHAPTER 17

Guaranteed Securities (*Continued*)

GUARANTEED REAL ESTATE MORTGAGES AND MORTGAGE BONDS

The practice of guaranteeing securities reached its widest development in the field of real estate mortgages. These guarantees are of two different types: the first being given by the corporation engaged in the sale of the mortgages or mortgage participations (or by an affiliate); the second and more recent form being the guaranty given by an independent surety company, which assumes the contingent liability in return for a fee.

The idea underlying real estate mortgage guarantees is evidently that of insurance. It is to the mortgage holder's advantage to protect himself, at some cost in income return, against the possibility of adverse developments affecting his particular property (such as a change in the character of the neighborhood). It is within the province of sound insurance practice to afford this protection in return for an adequate premium, provided of course, that all phases of the business are prudently handled. Such an arrangement will have the best chance of success if:

1. The mortgage loans are conservatively made in the first instance.
2. The guaranty or surety company is large, well managed, independent of the agency selling the mortgages, and has a diversification of business in fields other than real estate.
3. Economic conditions are not undergoing fluctuations of abnormal intensity.

The collapse in real estate values after 1929 was so extreme as to contravene the third of these conditions. Accordingly the behavior of real estate mortgage guarantees during this period may not afford a really fair guide to their future value. Nevertheless, some of the characteristics which they revealed are worthy of comment.